SECURITIES AND EXCHANGE COMMISSION

17 CFR Parts 240, 242, and 249

[Release No. 34-90610, File No. S7-03-20]

RIN 3235-AM61

Market Data Infrastructure

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission ("Commission" or "SEC") is amending Regulation National Market System ("Regulation NMS") under the Securities Exchange Act of 1934 ("Exchange Act") to modernize the national market system for the collection, consolidation, and dissemination of information with respect to quotations for and transactions in national market system ("NMS") stocks ("NMS information"). Specifically, the Commission is expanding the content of NMS information that is required to be collected, consolidated, and disseminated as part of the national market system under Regulation NMS and is amending the method by which such NMS information is collected, calculated, and disseminated by fostering a competitive environment for the dissemination of NMS information via a decentralized consolidation model with competing consolidators.

DATES: *Effective date:* The final rules are effective [INSERT DATE 60 DAYS AFTER DATE OF PUBLICATION IN THE FEDERAL REGISTER].

Compliance dates: The applicable compliance dates are discussed in Section III.H, titled "Transition Period and Compliance Dates."

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SUPPLEMENTARY INFORMATION:

The Commission is adopting 17 CFR 242.614 (new Rule 614) under the Exchange Act, Form CC to require registration of competing consolidators, and a requirement that the participants to the effective national market system plan(s) for NMS stocks amend such plan(s) to reflect the new role and functions of the plan(s). The Commission is also adopting amendments to the following rules:

Commission Reference		CFR Citation (17 CFR)
Exchange Act	Rule 3a51-1	§ 240.3a51-1
	Rule 13h-1	§ 240.13h-1
Regulation NMS		§§ 242.600 through 242.613
	Rule 600(b)(2)	§ 242.600(b)(2)
	Rule 600(b)(5)	§ 242.600(b)(5)
	Rule 600(b)(16)	§ 242.600(b)(16)
	Rule 600(b)(19)	§ 242.600(b)(19)
	Rule 600(b)(20)	§ 242.600(b)(20)
	Rule 600(b)(21)	§ 242.600(b)(21)
	Rule 600(b)(26)	§ 242.600(b)(26)
	Rule 600(b)(50)	§ 242.600(b)(50)
	Rule 600(b)(59)	§ 242.600(b)(59)
	Rule 600(b)(68)	§ 242.600(b)(68)
	Rule 600(b)(70)	§ 242.600(b)(70)
	Rule 600(b)(78)	§ 242.600(b)(78)
	Rule 600(b)(82)	§ 242.600(b)(82)
	Rule 600(b)(83)	§ 242.600(b)(83)

Commission Reference		CFR Citation (17 CFR)
	Rule 600(b)(85)	§ 242.600(b)(85)
	Rule 602	§ 242.602
	Rule 603	§ 242.603
	Rule 611	§ 242.611
Regulation SCI		§§ 242.1000 through 242.1007
	Rule 1000	§ 242.1000
Forms, Exchange Act		Part 249
	Form CC	§ 249.1002
	Form SCI	§ 249.1900

Finally, the Commission is adopting conforming changes and updates to cross-references in:

Commission Reference		CFR Citation (17 CFR)
Exchange Act	Rule 105(b)(1)(i)(C)	§ 242.105(b)(1)(i)(C)
	Rule 105(b)(1)(ii)	§ 242.105(b)(1)(ii)
	Rule 201(a)(1)	§ 242.201(a)(1)
	Rule 201(a)(2)	§ 242.201(a)(2)
	Rule 201(a)(3)	§ 242.201(a)(3)
	Rule 201(a)(4)	§ 242.201(a)(4)
	Rule 201(a)(5)	§ 242.201(a)(5)
	Rule 201(a)(6)	§ 242.201(a)(6)
	Rule 201(a)(7)	§ 242.201(a)(7)
	Rule 201(a)(9)	§ 242.201(a)(9)
	Rule 201(b)(1)(ii)	§ 242.201(b)(1)(ii)
	Rule 201(b)(3)	§ 242.201(b)(3)
	Rule 204(g)(2)	§ 242.204(g)(2)
	Rule 600	§ 242.600
	Rule 602	§ 242.602
	Rule 611(c)	§ 242.611(c)

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I. Introduction and Background

The widespread availability of timely NMS information is critical to the ability of market participants to participate effectively in the U.S. securities markets. NMS information is made widely available to investors through the national market system, a system set forth by Congress in Section 11A of the Exchange Act[1] and facilitated by the Commission in Regulation NMS. The current national market system for NMS information was developed in the late 1970s, and the Commission is adopting changes that will modernize the national market system for NMS information for the benefit of investors.

Section 11A of the Exchange Act directs the Commission to facilitate the establishment of a national market system for the trading of securities in accordance with the Congressional findings and objectives set forth in Section 11A(a)(1) of the Exchange Act.[2] Among the findings and objectives of Section 11A(a)(1) are that new data processing and communications techniques

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1 15 U.S.C. 78k-1.

2 15 U.S.C. 78k-1(a)(1).